



BY KUNAL SHAH

Fintech to Power Digital Economy

The fintech sector is intricately tied to India's GDP expansion. But the sector needs to work in tandem with banks and regulators

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opportunity and exponential dynamism are guaranteed for any society aspiring to progress from middle income to higher income. As we look towards 2047, colonial hangovers are a distant memory and our sights are firmly set on progress for all sections of society. Technology is emerging as a key lever in achieving India's ambitions to become a higher-income country within 100 years of Independence. We're seeing its power in facilitating inclusion, governance, privacy and ease of transactions with the rapid adoption of innovations like the Unified Payments Interface (UPI), Aadhaar Enabled Payment System (AePS), and the Account Aggregator (AA) framework.

But even as our inventiveness accelerates—governed by principles of transparency, access, and usability—like any sunrise sector, fintech too is constrained in impact not by ability or intent, but by behaviour and mindset. For generational and society-scale economic impact in the next 25 years, we need to do the following things:

Increase financial literacy: The vision for India@100 calls for social progress and shared prosperity. An expanding digital payments economy has democratised access to financial products, but a lack of understanding of the basic concepts surrounding money can hold us back from realising its true potential. While 77 per cent of the population is now literate, only 27 per cent are financially literate. This means that three-fourths of India doesn't understand concepts that are central to wealth and GDP creation, such as compounding. This is largely similar across genders, regions and even education levels. Addressing this requires us to create an ecosystem that builds knowledge and prudence, and which provides us with tools for the right financial behaviour.

Create an ecosystem that encourages and supports wealth creation:

The honourable Prime Minister recently said: "Start-ups are going to be the backbone of New India... Let us innovate for India, innovate from India." We need to become a nation of job creators and this ecosystem-wide effort can promote an understanding of entrepreneurship and capitalism, encourage and support entrepreneurs, and strengthen the frameworks that enable Indian start-ups to operate in a frictionless manner.

Fintech and GDP expansion:

Over 50 per cent of the market capitalisation of India-listed companies is related to financial services. It's the engine of the Indian economy and we all have a responsibility towards contributing to the above goals. Fintechs in collaboration with existing institutions can lead this journey enabling the country to achieve its goals for India@100. These goals include:

Improving knowledge: There is massive headroom for the growth of financial services. Most importantly, the government has done a remark-